

Charitable contribution deductions for non-itemizers.

Beginning in 2026, you can claim a deduction for cash contributions made to eligible tax-exempt organizations. You don't have to itemize to take the deduction. The maximum deduction is \$1,000 (\$2,000 for married filing jointly) with certain other limitations.

Charitable deduction floor for itemized deductions.

Beginning in 2026, if you itemize, you can only deduct charitable contributions that are more than 0.5% of your adjusted gross income. Any amount that falls under the 0.5% floor will not be deductible. This limitation is in addition to the overall limit on itemized deductions. Any amount that you can't claim as a deduction will be added to any charitable contribution carryover amount and you may be able to claim those amounts in a future year.

Expiration of certain credits. The following credits have expired and you can no longer claim them on your return in 2026.

- Credit for new clean vehicles.
- Credit for previously owned clean vehicles.
- Credit for commercial clean vehicles.
- Credit for energy efficient home improvements.
- Credit for residential clean energy systems.

The credit for alternative refueling property expires in 2026 for property acquired and placed in service after June 30, 2026.

SSN required for education credits. Beginning in 2026, a valid social security number issued before the due date of the return (including extensions) is required in order to be eligible to claim the American Opportunity Credit and Lifetime Learning Credit. If you are claiming the American Opportunity Credit, you must include the EIN of the institution to which you paid qualified tuition and related expenses on Form 8863.

Changes to the premium tax credit. Beginning in 2026, the following changes apply to the premium tax credit.

- If your household income is more than 400% of the federal poverty line, you are no longer eligible for the premium tax credit.
- There is no longer a limit on the amount you will have to pay back if you received too much in advanced credit; this is true even if your household income is less than 400% of the federal poverty line.

Changes to information returns for qualified tips. If you received qualified tips in 2026, these tips should be reported to you as follows.

- Form W-2, box 12, code "TP"
- Form 1099-MISC, box 13a.
- Form 1099-NEC, box 1b.
- Form 1099-K, box 1c.

The Treasury Tipped Occupation Code(s) for the occupation in which you earned the qualified tips should be reported to you as follows.

- Form W-2, box 14b.
- Form 1099-MISC, box 13b.
- Form 1099-NEC, box 1c.
- Form 1099-K, box 1d.

You can use this information when figuring your 2026 deduction for qualified tips on Schedule 1-A (Form 1040). Also, see [IRS.gov/TippedOccupations](https://www.irs.gov/TippedOccupations).

Changes to information returns for qualified overtime. If you received qualified overtime in 2026, the amount should be reported to you as follows:

- Form W-2, box 12, code "TT."
- Form 1099-MISC, box 14.
- Form 1099-NEC, box 1d.

You can use this information when figuring your 2026 deduction for qualified overtime on Form 1040, Schedule 1-A.

Increase in threshold for backup withholding.

Beginning in 2026, the amount of winnings subject to backup withholding and information reporting has increased. If you have winnings of at least \$2,000 from bingo or slot machines, keno, and certain other gambling winnings, the payer will withhold a flat 24%.

Reminders

Trump account and new Form 4547. Recent legislation allows parents, guardians, and other authorized individuals to elect to establish a new type of individual retirement account, called a Trump account, for the exclusive benefit of certain children. If the child was born after 2024 and before 2029, is a U.S. citizen, and meets certain other requirements, the authorized individual may also elect to receive a \$1,000 pilot program contribution to the child's Trump account. Both elections can be made on Form 4547, which can be filed at the same time as the authorized individual's 2026 income tax return. For more information on Trump accounts, and to learn how to make these elections, see Form 4547 and its instructions.

Expired individual taxpayer identification number (ITIN) and renewal. If you have an ITIN that you haven't included on a tax return in the last 3 consecutive years, it may be expired and you may need to renew it. If your ITIN has expired and you don't have an SSN, you can make estimated tax payments before you renew your ITIN. To renew your ITIN, and for more information, see the Instructions for Form W-7.

Advance payments of the premium tax credit. If you buy health care insurance through the Health Insurance Marketplace, you may be eligible for advance payments of the premium tax credit to help pay for your insurance coverage. Receiving too little or too much in advance will affect your refund or balance due. Promptly report changes in your income or family size to your Marketplace. See Form 8962 and its instructions for more information.

No tax on tips. You may be eligible to take a deduction for qualified tips paid to you in 2026. You can't deduct more than \$25,000 of those tips. Your deduction will be limited if your modified adjusted gross income is more than \$150,000 (\$300,000 if married filing jointly). To be eligible, you and/or your spouse who received the tips must have a valid SSN. If you are married, you must file a joint return.

No tax on overtime. If you earned qualified overtime, you may be eligible to deduct up to \$12,500 (\$25,000 if